Ludhiana.On 5 October, a group of Sikhs hijacked a bus near Dhilwan village in Kapurthala district, separated Hindu passengers from the rest and shot dead six of them at point-blank range. Consequently, on 6 October, Chief Minister Darbara Singh was made the scapegoat. The Congress government in Punjab, led by a powerless but secular chief minister, was dismissed for its failure in maintaining law and order in the state.

Soon after this development, Mark Tully met Darbara Singh at Chandigarh, and the latter 'blamed the faction in the Central government loyal to Zail Singh for his downfall'.

> A senior colleague of Darbara Singh went so far as to claim that President Zail Singh was still in daily contact with Bhindranwale.
>
> ... there is no doubt that Darbara Singh had worked to take action against Bhindranwale, and that it was the Central government which had refused to allow him to send the police into the Temple Rest House, which the Sant had made his headquarters. Darbara Singh was one of the very few Congress leaders who had the courage to attack Bhindranwale by name ... Darbara Singh matched his words with deeds as far as the Central government allowed him ... The other problem was, of course, that Darbara Singh's police were not allowed to tackle the problem at its root [meaning Bhindranwale]. [12]

Following the Dhilwan village incident, as a measure to reassure the local Hindu population, a CRPF contingent conducted a route march through the streets of Amritsar. Within a week, the state administrative machinery at the top was overhauled. Governor A.P. Sharma was sent to West Bengal, and in his place former cabinet secretary, the well-regarded civil servant B.D. Pande, was posted as governor on 10 October. Four senior civil servants were sent from the Centre to help him run the administration of Punjab: P.S. Bhinder, husband of Sukhbans Kaur Bhinder, Congress MP from Gurdaspur and a close confidante of the Gandhi family, was posted as DGP, Punjab.